Note B: baseline and robustness results

Unemployment and prices after a monetary policy surprise

Working tables (generated by `baseline/make_report.py`)

What the tables show

Each table reports the response of the unemployment gap (percentage points) and of the core PCE price *level* (percent) to a monetary policy surprise that raises the 2-year Treasury yield by 1 percentage point in the announcement window, at 12, 24 and 36 months. Responses are traced through a daily block (the 2-year yield, and the market financial conditions index (FCI) of Note A where included) into a monthly system for the unemployment gap and core PCE inflation, with 3, 6 or 12 monthly lags. In every row the 2-year yield is shown without and with the FCI, and the FCI is in the same form as the rate: nominal, real or r*-gap.

Common specification. Surprises: the Nakamura–Steinsson policy news series, 252 FOMC announcements from January 1996 to July 2026, identified in the announcement window with macro variables held fixed; macro variables first within the month; no deterministic trend in any equation except Robustness 2c–f; sample to September 2026 unless stated. Intervals are 90% bootstrap intervals from 200 draws (residual resampling in the monthly equations and resampling of announcements; the daily block is not re-estimated). A star marks a 90% interval that excludes zero.

Cases. **Baseline**: start February 1994, all data in. **Robustness 1** (sample; r*-gap only): start 1973; March–December 2020 dropped from all equations, start 1994 and 1973; sample ending December 2019, start 1994 and 1973. **Robustness 2** (the r* adjustment and trends; start 1994 and 1973): Kiley's r* used in both the rate and the FCI; and the real 2-year yield with the real FCI and, in place of any r* measure, a quadratic trend (2c–d) or a natural cubic spline trend (2e–f). **Robustness 3** (all data): the excess bond premium (EBP) added as a third monthly variable, r*-gap.

Choices made in building these tables (to be confirmed).

- "Dropping 2020" removes the monthly observations and the daily observations for March through December 2020 from the estimation of every equation. The 2020 values still enter as lagged regressors in the following months, and the 2020 announcements remain among the shocks.
- Robustness 1 has five cases (one start-date change, two drop-2020, two end-2019).
- In Robustness 2a–b the FCI is Note A's index built with Kiley's r*, so rate and FCI use the same adjustment.
- In Robustness 2c–d the trend is a quadratic in time (t and t^2, t in decades from 2010), estimated in every monthly equation (not in the daily block). In 2e–f the spline has knots at the sample ends and at the NBER business-cycle peaks inside the sample (1994 start: 2001, 2007, 2020; 1973 start: 1973, 1980, 1981, 1990, 2001, 2007, 2020), is linear beyond the end knots, and is estimated in every monthly equation (not in the daily block).
- The EBP source file is undocumented [unverified].

- Starts before 1990 use monthly splices for the 2-year yield, expected inflation and the FCI before the daily data begin (FS-A29 in `FS_QA.md`).

1 Baseline

2 Robustness 1: sample (r*-gap only)

3 Robustness 2: Kiley r* and trends without r*

4 Robustness 3: excess bond premium

Table 1: Baseline: 1994 to the present, all data in, no trend

				Unemployment gap (pp)			Price level (%)		
2-year	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
Nominal	none	3	392	−0.53*	−0.37*	−0.26*	0.10	0.07	0.04
				[−0.72, −0.27]	[−0.62, −0.07]	[−0.53, −0.01]	[−0.07, 0.28]	[−0.20, 0.35]	[−0.30, 0.40]
		6	392	−0.48*	−0.34*	−0.22	0.09	0.03	−0.08
				[−0.69, −0.20]	[−0.60, −0.05]	[−0.47, 0.13]	[−0.11, 0.28]	[−0.33, 0.36]	[−0.55, 0.37]
		12	392	−0.70*	−0.38*	−0.20	0.08	0.01	−0.12
				[−1.17, −0.28]	[−0.72, −0.08]	[−0.56, 0.09]	[−0.10, 0.26]	[−0.30, 0.34]	[−0.55, 0.38]
Nominal	nominal	3	392	0.03	0.18	0.18	−0.06	−0.21	−0.31
				[−0.21, 0.28]	[−0.09, 0.38]	[0.00, 0.31]	[−0.24, 0.14]	[−0.48, 0.12]	[−0.67, 0.15]
		6	392	0.03	0.24	0.27*	−0.08	−0.29	−0.48
				[−0.24, 0.21]	[−0.03, 0.40]	[0.05, 0.44]	[−0.30, 0.11]	[−0.61, 0.06]	[−1.01, 0.06]
		12	392	−0.02	0.24	0.32*	−0.09	−0.33	−0.57*
				[−0.37, 0.39]	[−0.04, 0.53]	[0.07, 0.55]	[−0.32, 0.12]	[−0.77, 0.03]	[−1.19, −0.09]
Real	none	3	392	−0.32*	−0.30*	−0.25	−0.03	−0.05	−0.06
				[−0.53, −0.09]	[−0.55, −0.01]	[−0.49, 0.03]	[−0.18, 0.10]	[−0.28, 0.16]	[−0.36, 0.21]
		6	392	−0.31*	−0.26*	−0.19	0.00	−0.06	−0.16
				[−0.54, −0.11]	[−0.52, −0.02]	[−0.46, 0.07]	[−0.16, 0.18]	[−0.30, 0.27]	[−0.52, 0.27]
		12	392	−0.54*	−0.28	−0.16	−0.03	−0.10	−0.21
				[−0.92, −0.20]	[−0.58, 0.00]	[−0.50, 0.13]	[−0.20, 0.13]	[−0.40, 0.19]	[−0.63, 0.26]
Real	real	3	392	0.11	0.11	0.08	−0.14	−0.24	−0.30
				[−0.18, 0.40]	[−0.17, 0.35]	[−0.12, 0.22]	[−0.33, 0.06]	[−0.53, 0.08]	[−0.67, 0.11]
		6	392	0.11	0.22	0.20*	−0.14	−0.33	−0.50
				[−0.08, 0.38]	[−0.01, 0.54]	[0.02, 0.46]	[−0.31, 0.06]	[−0.63, 0.03]	[−0.92, 0.07]
		12	392	0.07	0.25	0.26	−0.18*	−0.38	−0.54*
				[−0.30, 0.43]	[−0.05, 0.48]	[−0.02, 0.47]	[−0.38, 0.00]	[−0.74, 0.03]	[−1.14, 0.00]
r*-gap	none	3	392	−0.17	−0.16	−0.13	−0.09	−0.11	−0.13
				[−0.48, 0.06]	[−0.53, 0.13]	[−0.51, 0.15]	[−0.25, 0.07]	[−0.39, 0.17]	[−0.49, 0.26]
		6	392	−0.11	−0.08	−0.03	−0.12	−0.28	−0.44
				[−0.38, 0.13]	[−0.36, 0.20]	[−0.38, 0.26]	[−0.28, 0.06]	[−0.62, 0.08]	[−0.95, 0.09]
		12	392	−0.28	−0.06	0.04	−0.18	−0.39*	−0.62*
				[−0.77, 0.08]	[−0.54, 0.30]	[−0.41, 0.45]	[−0.34, 0.03]	[−0.68, 0.00]	[−1.11, −0.06]
r*-gap	r*-gap	3	392	0.25	0.17	0.06	−0.17	−0.21	−0.22
				[−0.03, 0.50]	[−0.12, 0.43]	[−0.16, 0.24]	[−0.40, 0.07]	[−0.57, 0.23]	[−0.67, 0.36]
		6	392	0.31*	0.34*	0.25*	−0.27*	−0.53*	−0.73*
				[0.07, 0.63]	[0.10, 0.68]	[0.04, 0.53]	[−0.48, −0.06]	[−0.97, −0.08]	[−1.42, −0.09]
		12	392	0.31	0.47*	0.41*	−0.36*	−0.71*	−0.97*
				[−0.03, 0.72]	[0.15, 0.75]	[0.09, 0.70]	[−0.54, −0.20]	[−1.11, −0.34]	[−1.64, −0.33]

Nominal, real and r*-gap 2-year yield; the FCI is the matching index of Note A in each case. Per +1 pp on the 2-year yield. * = 90% interval excludes zero; intervals in brackets. Obs = monthly observations in the equations.

Table 2: Robustness 1a: monthly equations start in 1973

				Unemployment gap (pp)			Price level (%)		
2-year	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
r*-gap	none	3	642	0.01	0.05	0.05	−0.09	−0.15	−0.19
				[−0.10, 0.20]	[−0.10, 0.26]	[−0.10, 0.27]	[−0.23, 0.06]	[−0.48, 0.22]	[−0.71, 0.38]
		6	639	0.00	0.03	0.03	−0.12	−0.31	−0.52
				[−0.13, 0.12]	[−0.14, 0.18]	[−0.15, 0.17]	[−0.24, 0.02]	[−0.60, 0.02]	[−1.02, 0.01]
		12	633	−0.05	0.00	0.00	−0.23*	−0.50*	−0.78*
				[−0.22, 0.13]	[−0.19, 0.17]	[−0.19, 0.24]	[−0.36, −0.11]	[−0.79, −0.24]	[−1.25, −0.31]
r*-gap	r*-gap	3	642	0.07	0.03	0.00	−0.08	−0.15	−0.23
				[−0.05, 0.18]	[−0.13, 0.17]	[−0.16, 0.16]	[−0.23, 0.07]	[−0.51, 0.18]	[−0.75, 0.28]
		6	639	0.10	0.08	0.07	−0.14	−0.35*	−0.59*
				[−0.06, 0.28]	[−0.11, 0.28]	[−0.13, 0.27]	[−0.29, 0.02]	[−0.67, −0.01]	[−1.11, −0.14]
		12	633	0.18	0.15	0.14	−0.27*	−0.62*	−0.94*
				[−0.04, 0.37]	[−0.01, 0.31]	[−0.04, 0.32]	[−0.44, −0.12]	[−0.94, −0.29]	[−1.46, −0.42]

r*-gap only. Pre-1990 months use the spliced monthly series (FS-A29); shocks still 1996 on. Per +1 pp on the 2-year yield. * = 90% interval excludes zero; intervals in brackets. Obs = monthly observations in the equations.

Table 3: Robustness 1b: 2020 dropped from all equations, start 1994

				Unemployment gap (pp)			Price level (%)		
2-year	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
r*-gap	none	3	382	0.08	0.16	0.20	−0.15	−0.22	−0.28
				[−0.08, 0.26]	[−0.09, 0.42]	[−0.10, 0.50]	[−0.33, 0.03]	[−0.59, 0.15]	[−0.79, 0.23]
		6	382	0.03	0.04	0.05	−0.12	−0.26	−0.39
				[−0.17, 0.19]	[−0.28, 0.31]	[−0.36, 0.39]	[−0.30, 0.04]	[−0.56, 0.11]	[−0.88, 0.19]
		12	382	−0.08	−0.15	−0.16	−0.18*	−0.31	−0.44
				[−0.26, 0.14]	[−0.46, 0.22]	[−0.57, 0.31]	[−0.35, −0.02]	[−0.66, 0.07]	[−0.97, 0.12]
r*-gap	r*-gap	3	382	0.30*	0.38*	0.34*	−0.18	−0.28	−0.37
				[0.13, 0.47]	[0.13, 0.61]	[0.05, 0.59]	[−0.35, 0.02]	[−0.67, 0.08]	[−0.82, 0.19]
		6	382	0.32*	0.39*	0.38*	−0.25*	−0.48*	−0.68*
				[0.15, 0.49]	[0.11, 0.70]	[0.05, 0.77]	[−0.45, −0.04]	[−0.92, −0.07]	[−1.36, −0.07]
		12	382	0.35*	0.41*	0.37*	−0.33*	−0.61*	−0.84*
				[0.15, 0.55]	[0.15, 0.70]	[0.03, 0.73]	[−0.51, −0.12]	[−1.02, −0.15]	[−1.51, −0.15]

r*-gap only. March to December 2020 dropped from the monthly and the daily equations. Per +1 pp on the 2-year yield. * = 90% interval excludes zero; intervals in brackets. Obs = monthly observations in the equations.

Table 4: Robustness 1c: 2020 dropped from all equations, start 1973

				Unemployment gap (pp)			Price level (%)		
2-year	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
r*-gap	none	3	632	0.06	0.11	0.13	−0.11	−0.20	−0.27
				[−0.02, 0.14]	[−0.04, 0.24]	[−0.04, 0.30]	[−0.26, 0.03]	[−0.53, 0.13]	[−0.80, 0.22]
		6	629	0.11*	0.10	0.04	−0.17*	−0.39*	−0.62*
				[0.01, 0.22]	[−0.06, 0.24]	[−0.15, 0.22]	[−0.30, −0.03]	[−0.70, −0.05]	[−1.14, −0.12]
		12	623	0.18*	0.14	0.04	−0.29*	−0.64*	−0.96*
				[0.07, 0.29]	[0.00, 0.30]	[−0.14, 0.22]	[−0.41, −0.16]	[−0.89, −0.37]	[−1.35, −0.58]
r*-gap	r*-gap	3	632	0.12*	0.10	0.08	−0.09	−0.24*	−0.44*
				[0.03, 0.22]	[−0.04, 0.25]	[−0.08, 0.24]	[−0.25, 0.00]	[−0.57, −0.01]	[−0.90, −0.05]
		6	629	0.27*	0.16*	0.07	−0.20*	−0.48*	−0.77*
				[0.16, 0.39]	[0.00, 0.32]	[−0.12, 0.26]	[−0.39, −0.07]	[−0.90, −0.18]	[−1.37, −0.30]
		12	623	0.32*	0.24*	0.16	−0.32*	−0.74*	−1.11*
				[0.20, 0.43]	[0.10, 0.39]	[0.00, 0.32]	[−0.46, −0.16]	[−1.05, −0.41]	[−1.69, −0.56]

r*-gap only. Per +1 pp on the 2-year yield. * = 90% interval excludes zero; intervals in brackets. Obs = monthly observations in the equations.

Table 5: Robustness 1d: sample ends in December 2019, start 1994

			Unemployment gap (pp)			Price level (%)		
2-year FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
r*-gap none	3	311	−0.09	−0.13	−0.15	0.02	0.08	0.13
			[−0.26, 0.12]	[−0.43, 0.18]	[−0.50, 0.25]	[−0.05, 0.11]	[−0.04, 0.22]	[−0.04, 0.30]
	6	311	−0.09	−0.14	−0.15	0.04	0.08	0.10
			[−0.33, 0.13]	[−0.51, 0.23]	[−0.59, 0.36]	[−0.05, 0.14]	[−0.12, 0.24]	[−0.19, 0.33]
	12	311	−0.14	−0.19	−0.16	0.10	0.10	0.07
			[−0.34, 0.08]	[−0.55, 0.17]	[−0.66, 0.29]	[−0.02, 0.22]	[−0.07, 0.28]	[−0.19, 0.28]
r*-gap r*-gap	3	311	0.20*	0.21	0.17	−0.04	0.00	0.03
			[0.00, 0.44]	[−0.10, 0.54]	[−0.17, 0.57]	[−0.14, 0.07]	[−0.17, 0.20]	[−0.19, 0.28]
	6	311	0.23*	0.21	0.17	−0.07	−0.04	−0.04
			[0.01, 0.48]	[−0.14, 0.66]	[−0.27, 0.74]	[−0.19, 0.05]	[−0.23, 0.17]	[−0.26, 0.23]
	12	311	0.30*	0.30	0.23	−0.05	−0.12	−0.21
			[0.12, 0.49]	[−0.04, 0.59]	[−0.21, 0.61]	[−0.24, 0.07]	[−0.42, 0.07]	[−0.65, 0.07]

r*-gap only. All equations, monthly and daily. Per +1 pp on the 2-year yield. * = 90% interval excludes zero; intervals in brackets. Obs = monthly observations in the equations.

Table 6: Robustness 1e: sample ends in December 2019, start 1973

			Unemployment gap (pp)			Price level (%)		
2-year FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
r*-gap none	3	561	0.03	0.05	0.06	−0.05	−0.06	−0.07
			[−0.06, 0.13]	[−0.09, 0.21]	[−0.10, 0.24]	[−0.19, 0.12]	[−0.45, 0.37]	[−0.67, 0.60]
	6	558	0.11*	0.09	0.04	−0.10	−0.27	−0.46
			[0.01, 0.24]	[−0.05, 0.28]	[−0.12, 0.23]	[−0.24, 0.05]	[−0.58, 0.07]	[−1.06, 0.10]
	12	552	0.20*	0.18*	0.07	−0.22*	−0.51*	−0.83*
			[0.07, 0.35]	[0.01, 0.39]	[−0.14, 0.35]	[−0.35, −0.07]	[−0.82, −0.16]	[−1.36, −0.25]
r*-gap r*-gap	3	561	0.08*	0.04	0.00	−0.01	−0.06	−0.19
			[0.00, 0.18]	[−0.11, 0.19]	[−0.18, 0.19]	[−0.14, 0.14]	[−0.33, 0.24]	[−0.60, 0.25]
	6	558	0.26*	0.13	0.02	−0.13	−0.34	−0.59*
			[0.15, 0.39]	[−0.04, 0.28]	[−0.15, 0.20]	[−0.28, 0.01]	[−0.67, 0.02]	[−1.12, −0.06]
	12	552	0.33*	0.25*	0.15	−0.23*	−0.54*	−0.90*
			[0.21, 0.47]	[0.10, 0.44]	[−0.03, 0.36]	[−0.41, −0.07]	[−0.94, −0.21]	[−1.53, −0.41]

r*-gap only. Per +1 pp on the 2-year yield. * = 90% interval excludes zero; intervals in brackets. Obs = monthly observations in the equations.

Table 7: Robustness 2a: Kiley r*, start 1994

				Unemployment gap (pp)			Price level (%)		
2-year	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
r*-gap (Kiley)	none	3	392	−0.31*	−0.32*	−0.27	−0.05	−0.03	−0.02
				[−0.50, −0.05]	[−0.55, −0.03]	[−0.50, 0.00]	[−0.23, 0.10]	[−0.28, 0.21]	[−0.34, 0.32]
		6	392	−0.27*	−0.26*	−0.20	−0.05	−0.10	−0.17
				[−0.64, −0.06]	[−0.58, 0.00]	[−0.54, 0.07]	[−0.21, 0.14]	[−0.41, 0.22]	[−0.64, 0.29]
		12	392	−0.47	−0.26	−0.17	−0.09	−0.11	−0.14
				[−0.91, 0.01]	[−0.59, 0.17]	[−0.54, 0.26]	[−0.26, 0.12]	[−0.49, 0.24]	[−0.67, 0.35]
r*-gap (Kiley)	r*-gap (Kiley)	3	392	0.24	0.08	−0.01	−0.09	−0.07	−0.06
				[−0.08, 0.63]	[−0.16, 0.33]	[−0.19, 0.13]	[−0.29, 0.16]	[−0.40, 0.35]	[−0.45, 0.43]
		6	392	0.40*	0.28	0.11	−0.18	−0.25	−0.30
				[0.10, 0.81]	[−0.01, 0.72]	[−0.13, 0.41]	[−0.43, 0.03]	[−0.75, 0.19]	[−1.06, 0.40]
		12	392	0.44*	0.42*	0.14	−0.24*	−0.22	−0.07
				[0.05, 0.78]	[0.10, 0.79]	[−0.17, 0.48]	[−0.41, −0.05]	[−0.66, 0.19]	[−0.74, 0.50]

2-year minus expected inflation minus Kiley's r*; the FCI is Note A's index built with Kiley's r* (same adjustment in rate and FCI). Per +1 pp on the 2-year yield. * = 90% interval excludes zero; intervals in brackets. Obs = monthly observations in the equations.

Table 8: Robustness 2b: Kiley r*, start 1973

				Unemployment gap (pp)			Price level (%)		
2-year	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
r*-gap (Kiley)	none	3	642	−0.02	0.00	0.01	−0.04	−0.02	0.01
				[−0.16, 0.09]	[−0.15, 0.18]	[−0.13, 0.18]	[−0.17, 0.10]	[−0.33, 0.29]	[−0.46, 0.52]
		6	639	−0.04	−0.01	0.00	−0.07	−0.17	−0.28
				[−0.15, 0.07]	[−0.16, 0.16]	[−0.16, 0.15]	[−0.18, 0.04]	[−0.42, 0.08]	[−0.70, 0.15]
		12	633	−0.11	−0.05	−0.02	−0.18*	−0.35*	−0.50*
				[−0.25, 0.03]	[−0.21, 0.12]	[−0.18, 0.14]	[−0.31, −0.06]	[−0.61, −0.11]	[−0.90, −0.10]
r*-gap (Kiley)	r*-gap (Kiley)	3	642	−0.02	−0.05	−0.05	−0.04	−0.06	−0.07
				[−0.11, 0.11]	[−0.15, 0.08]	[−0.15, 0.05]	[−0.17, 0.08]	[−0.29, 0.15]	[−0.38, 0.23]
		6	639	−0.01	−0.01	0.00	−0.08	−0.18	−0.27
				[−0.12, 0.12]	[−0.14, 0.13]	[−0.13, 0.14]	[−0.20, 0.04]	[−0.42, 0.06]	[−0.63, 0.08]
		12	633	0.05	0.04	0.03	−0.20*	−0.37*	−0.48*
				[−0.08, 0.25]	[−0.08, 0.18]	[−0.08, 0.17]	[−0.34, −0.06]	[−0.66, −0.12]	[−0.88, −0.15]

As 2a. Per +1 pp on the 2-year yield. * = 90% interval excludes zero; intervals in brackets. Obs = monthly observations in the equations.

Table 9: Robustness 2c: real 2-year and real FCI with a quadratic trend, start 1994

				Unemployment gap (pp)			Price level (%)		
2-year	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
Real	none	3	392	−0.33	−0.29	−0.24	−0.06	−0.11	−0.16
				[−0.65, 0.03]	[−0.63, 0.11]	[−0.61, 0.08]	[−0.24, 0.11]	[−0.40, 0.20]	[−0.53, 0.28]
		6	392	−0.28	−0.20	−0.12	−0.06	−0.22	−0.38
				[−0.61, 0.02]	[−0.52, 0.14]	[−0.48, 0.18]	[−0.24, 0.14]	[−0.57, 0.11]	[−0.85, 0.09]
		12	392	−0.49	−0.17	−0.04	−0.05	−0.17	−0.31
				[−0.90, 0.00]	[−0.65, 0.34]	[−0.54, 0.49]	[−0.24, 0.12]	[−0.52, 0.19]	[−0.83, 0.17]
Real	real	3	392	0.17	0.16	0.10	−0.11	−0.17	−0.20
				[−0.15, 0.50]	[−0.16, 0.44]	[−0.11, 0.24]	[−0.31, 0.10]	[−0.49, 0.15]	[−0.59, 0.20]
		6	392	0.27*	0.39*	0.30*	−0.18	−0.41*	−0.56*
				[0.00, 0.60]	[0.15, 0.78]	[0.11, 0.55]	[−0.42, 0.04]	[−0.84, −0.01]	[−1.14, −0.01]
		12	392	0.33	0.57*	0.45*	−0.19	−0.39	−0.46
				[−0.07, 0.67]	[0.10, 0.94]	[0.04, 0.71]	[−0.40, 0.02]	[−0.84, 0.07]	[−1.14, 0.23]

No r* measure: the trend is a quadratic in time (t and t^2, t in decades from 2010), estimated in every monthly equation. Per +1 pp on the 2-year yield. * = 90% interval excludes zero; intervals in brackets. Obs = monthly observations in the equations.

Table 10: Robustness 2d: real 2-year and real FCI with a quadratic trend, start 1973

				Unemployment gap (pp)			Price level (%)		
2-year	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
Real	none	3	642	−0.06	−0.03	−0.02	−0.04	−0.07	−0.10
				[−0.14, 0.10]	[−0.15, 0.19]	[−0.14, 0.21]	[−0.12, 0.04]	[−0.23, 0.07]	[−0.29, 0.09]
		6	639	−0.08	−0.05	−0.03	−0.03	−0.12	−0.21*
				[−0.21, 0.06]	[−0.20, 0.15]	[−0.18, 0.14]	[−0.11, 0.08]	[−0.28, 0.02]	[−0.43, −0.01]
		12	633	−0.22*	−0.11	−0.06	−0.05	−0.13	−0.21
				[−0.39, −0.02]	[−0.27, 0.09]	[−0.24, 0.15]	[−0.16, 0.05]	[−0.32, 0.05]	[−0.46, 0.04]
Real	real	3	642	0.05	0.03	0.02	−0.04	−0.07	−0.10
				[−0.05, 0.19]	[−0.09, 0.17]	[−0.08, 0.12]	[−0.14, 0.05]	[−0.24, 0.07]	[−0.31, 0.10]
		6	639	0.03	0.04	0.03	−0.05	−0.14	−0.23*
				[−0.08, 0.14]	[−0.08, 0.17]	[−0.07, 0.14]	[−0.16, 0.05]	[−0.32, 0.02]	[−0.48, 0.00]
		12	633	0.08	0.03	0.01	−0.09	−0.20	−0.28*
				[−0.08, 0.27]	[−0.08, 0.15]	[−0.09, 0.12]	[−0.24, 0.03]	[−0.43, 0.01]	[−0.57, −0.01]

As 2c. Per +1 pp on the 2-year yield. * = 90% interval excludes zero; intervals in brackets. Obs = monthly observations in the equations.

Table 11: Robustness 2e: real 2-year and real FCI with a cubic spline trend, start 1994

				Unemployment gap (pp)			Price level (%)		
2-year	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
Real	none	3	392	−0.42*	−0.35*	−0.28*	−0.10	−0.20	−0.29
				[−0.74, −0.11]	[−0.72, −0.05]	[−0.65, −0.02]	[−0.29, 0.06]	[−0.53, 0.07]	[−0.69, 0.09]
		6	392	−0.42*	−0.29	−0.17	−0.06	−0.29	−0.51*
				[−0.74, −0.10]	[−0.70, 0.08]	[−0.63, 0.19]	[−0.22, 0.13]	[−0.58, 0.07]	[−0.91, −0.03]
		12	392	−0.60*	−0.27	−0.10	−0.02	−0.18	−0.42
				[−0.94, −0.27]	[−0.63, 0.06]	[−0.49, 0.20]	[−0.19, 0.18]	[−0.52, 0.18]	[−0.91, 0.11]
Real	real	3	392	0.04	0.06	0.05	−0.17	−0.31	−0.39
				[−0.28, 0.45]	[−0.23, 0.39]	[−0.15, 0.19]	[−0.36, 0.02]	[−0.64, 0.05]	[−0.77, 0.07]
		6	392	0.17	0.32	0.28*	−0.22	−0.55	−0.76
				[−0.21, 0.53]	[−0.08, 0.63]	[0.00, 0.50]	[−0.45, 0.04]	[−1.02, 0.04]	[−1.39, 0.02]
		12	392	0.27	0.51*	0.42*	−0.18	−0.41	−0.53
				[−0.20, 0.70]	[0.00, 1.02]	[0.04, 0.80]	[−0.39, 0.00]	[−0.94, 0.12]	[−1.23, 0.27]

No r* measure: the trend is a natural cubic spline in time (knots at the sample ends and at the NBER business-cycle peaks inside the sample), estimated in every monthly equation. Per +1 pp on the 2-year yield. * = 90% interval excludes zero; intervals in brackets. Obs = monthly observations in the equations.

Table 12: Robustness 2f: real 2-year and real FCI with a cubic spline trend, start 1973

				Unemployment gap (pp)			Price level (%)		
2-year	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
Real	none	3	642	0.01	0.04	0.04	−0.11*	−0.22*	−0.29*
				[−0.17, 0.19]	[−0.18, 0.24]	[−0.15, 0.19]	[−0.23, −0.01]	[−0.44, −0.03]	[−0.60, −0.05]
		6	639	0.02	0.07	0.06	−0.11*	−0.32*	−0.48*
				[−0.14, 0.14]	[−0.14, 0.24]	[−0.13, 0.20]	[−0.23, −0.01]	[−0.55, −0.04]	[−0.81, −0.13]
		12	633	−0.10	0.09	0.12	−0.10	−0.25*	−0.39*
				[−0.31, 0.06]	[−0.22, 0.31]	[−0.17, 0.34]	[−0.19, 0.00]	[−0.44, −0.02]	[−0.64, −0.06]
Real	real	3	642	0.26*	0.23*	0.15*	−0.18*	−0.33*	−0.41*
				[0.06, 0.43]	[0.06, 0.37]	[0.04, 0.24]	[−0.28, −0.05]	[−0.52, −0.07]	[−0.65, −0.08]
		6	639	0.27*	0.29*	0.19*	−0.18*	−0.46*	−0.65*
				[0.06, 0.48]	[0.08, 0.49]	[0.06, 0.34]	[−0.32, −0.05]	[−0.73, −0.16]	[−1.00, −0.25]
		12	633	0.23*	0.27*	0.19*	−0.18*	−0.42*	−0.57*
				[0.03, 0.42]	[0.06, 0.48]	[0.02, 0.36]	[−0.30, −0.03]	[−0.66, −0.16]	[−0.89, −0.19]

As 2e; knots at the NBER peaks of 1973, 1980, 1981, 1990, 2001, 2007 and 2020. Per +1 pp on the 2-year yield. * = 90% interval excludes zero; intervals in brackets. Obs = monthly observations in the equations.

Table 13: Robustness 3a: excess bond premium as a third monthly variable, start 1994

				Unemployment gap (pp)			Price level (%)		
2-year	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
r*-gap	none	3	392	−0.10	−0.13	−0.12	−0.12	−0.15	−0.16
				[−0.40, 0.18]	[−0.48, 0.17]	[−0.46, 0.16]	[−0.31, 0.04]	[−0.50, 0.14]	[−0.62, 0.23]
		6	392	0.00	−0.07	−0.09	−0.15	−0.29	−0.44
				[−0.34, 0.31]	[−0.44, 0.32]	[−0.52, 0.28]	[−0.33, 0.02]	[−0.69, 0.01]	[−1.00, 0.04]
		12	392	−0.09	0.06	0.15	−0.23*	−0.45*	−0.69*
				[−0.47, 0.30]	[−0.37, 0.50]	[−0.30, 0.60]	[−0.39, −0.08]	[−0.82, −0.14]	[−1.23, −0.22]
r*-gap	r*-gap	3	392	0.19	0.06	−0.10	−0.15	−0.16	−0.14
				[−0.10, 0.50]	[−0.29, 0.50]	[−0.46, 0.37]	[−0.35, 0.01]	[−0.53, 0.13]	[−0.63, 0.27]
		6	392	0.28	0.20	0.03	−0.23*	−0.43*	−0.61*
				[−0.01, 0.57]	[−0.17, 0.59]	[−0.34, 0.49]	[−0.45, −0.04]	[−0.87, −0.05]	[−1.22, −0.02]
		12	392	0.23	0.46*	0.36	−0.33*	−0.67*	−0.94*
				[−0.23, 0.68]	[0.00, 0.85]	[−0.11, 0.82]	[−0.54, −0.08]	[−1.14, −0.21]	[−1.71, −0.22]

r*-gap. Monthly system u, inflation, EBP (EBP treated like u and inflation; responses shown for u and the price level). Per +1 pp on the 2-year yield. * = 90% interval excludes zero; intervals in brackets. Obs = monthly observations in the equations.

Table 14: Robustness 3b: excess bond premium as a third monthly variable, start 1973

				Unemployment gap (pp)			Price level (%)		
2-year	FCI	Lags	Obs	12 m	24 m	36 m	12 m	24 m	36 m
r*-gap	none	3	642	0.01	0.04	0.04	−0.09	−0.15	−0.19
				[−0.10, 0.15]	[−0.10, 0.21]	[−0.09, 0.19]	[−0.25, 0.06]	[−0.52, 0.23]	[−0.72, 0.42]
		6	639	0.01	0.03	0.01	−0.12*	−0.31*	−0.51*
				[−0.10, 0.14]	[−0.14, 0.19]	[−0.19, 0.16]	[−0.26, −0.02]	[−0.61, −0.04]	[−1.06, −0.09]
		12	633	−0.03	−0.01	0.01	−0.23*	−0.50*	−0.78*
				[−0.17, 0.15]	[−0.19, 0.16]	[−0.19, 0.18]	[−0.38, −0.11]	[−0.83, −0.23]	[−1.32, −0.28]
r*-gap	r*-gap	3	642	0.03	0.02	0.00	−0.09	−0.19	−0.28
				[−0.09, 0.14]	[−0.13, 0.16]	[−0.16, 0.14]	[−0.22, 0.08]	[−0.51, 0.18]	[−0.75, 0.29]
		6	639	0.04	0.03	0.01	−0.12	−0.31	−0.55
				[−0.09, 0.19]	[−0.15, 0.18]	[−0.18, 0.15]	[−0.26, 0.03]	[−0.62, 0.02]	[−1.04, 0.04]
		12	633	0.07	0.04	0.04	−0.24*	−0.56*	−0.86*
				[−0.11, 0.25]	[−0.17, 0.24]	[−0.16, 0.24]	[−0.40, −0.08]	[−0.89, −0.22]	[−1.37, −0.37]

As 3a. Per +1 pp on the 2-year yield. * = 90% interval excludes zero; intervals in brackets. Obs = monthly observations in the equations.